A410.

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"Course outline ~~s~~map on the group" is on g'allery".

Materials soft copy

1) FINANCE (forex CD). WPS
lecture notes.

BUSINESS FINANCE

INTERNATIONAL

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15/12/21.

FIN 418 (COURSE OUTLINE).

* An Overview of International Finance. 642
* International business and trade.
* Current trend and drivers of International trade and investment

COURSE OUTLINE. FIN 418.

* Introduct of International business finance.
* International trade and Investment Including the theories that sup
those trade..
* Foreign exchage rate determination and quotation Including Introdu
to foreign exchange trade transachon.
* Mangt of foreign exchange risk exposures
* Balance of payment account
* Balance of payment adjustment mechanism.
* financing arrangement procedures and documentation i
international biz and trade.
* International financial market and institutions.
* Globalization: concept, features and Implementation.

Text book: International biz finance and management by prof Ezekel.

1 course

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pic: Overview of International business Finance.

t is International business finance! from the topic, there are three key
ds that are to be considered which are Internation al business & finance
ernational business finance is a discipline or a multi-displine that contains
r areas or field that exposes people to different ways of managing
ancing, Investing finance, raising finance beyond the shores of a
intry. It focus on monitoring the financial or monetary interac
on btw people from different countries or nations.~
t prepares one to have the knowledge on how to manage Internati
l investment and corporation as it will expose one to the
as of having ideas and knowledge on foreign currencies

Objectives of International business finance.

To reduce global poverty and increase global standard of living
d economic conditions of every nations.
Aims to support national economic ~~stab~~ substainability prospect
possibility, chance, anticipation
Helps to promote regional co-operation and global financial
ansparency.
Supports the growth and development of International financial
stitutions.

Scope of International business finance.

a body of knowledge I.B+F acquires knowledge from various
al
dy of study including social sciences, behavioural sciences
nd business management.



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but that is given such a right. company's goods or services in a particular area)

Various businesses that can go Internationally.

1) franchising ii) exporting iii) importing iv) multi-national firms v) buying and selling vi) foreign Investment.

(company that controls the ... of goods & ... in at least ... country other ... its home ...

Importance of International business finance.

1. It enables Investors or countries maximise their wealth.
2) Helps Investors to perfect optimise Interest rate stability.
3) Helps Investors to manage risk especially foreign exchange risk
4) Helps Investors to manage i.e. to know how to mange Inflationary trends that might affect his/her Investment Income.

Scope / Focus of International business finance.

The course as a discipline focuses on the following:

* Standardization of world economic stability through International
Monetary exchanges and relationship among countries.
* focuses on Individual Markets (countries) International capital flow
* focuses on external trade and global market development.

Other areas of focuses Includes:

Optimum currency areas, (best or most favourable) a currency area in which the benefits of using a common currency outweigh d cost of Individual economies giving up their own currencies.

* International fishers effect and Interest rate fluctation among other others.

Features / ~~Differences~~ Features of International Business and Domestic International trade.

| International business / Trade. | Domestic business / Trade. |
|---|---|
| 1) cross-border transaction | 1) Trade within the border of a nation. |
| 2) The trade is between individuals from one country and an Individual from another country (Inter-Country business or transaction) | 2) The trade is between Individual within the same country. It is an (Intra-country transaction or business). |



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different laws of the countries involved must be observed and respected
ere are various laws to be obeyed.
Language barrier re you must learn the languages of the country you transact with
Movement of factors of production is not easy due to some restrictions eg labour, capital etc.
The foreign currencies needed for the transaction is difficult to acquire and you must know the exchange rate and how it affects your business & foreign currency issues). High trasaction cost
- There is exchange rate risk.
* External trades

* The traders are expected to observe and respect the laws of a particular country i.e we have only one laws to obey eg Nigeria
* There is no language barrier
* There is restriction in the movement of factors of production as trans - portion is very easy.
* Only one currency is involved and there is no transaction cost < Local currency
* There is no exchange rate risk.
* There is no risk in domestic business.
* Internal trades.

## THE PRACTICE OF INTERNATIONAL TRADE CONCEPT (TRENDS).

International trade is a business going beyond borders to trade
Over the years, countries all over the activities among themselves from time immemorial. In recent times, this international trade has grown even faster than domestic trade, the growth in International trade however, can explained as a result of various factors that have collectively been driving the growth of international trade particularly in Nigeria.

activities that involves individuals with one another.
the world have engage in commercial



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those factors Includes the following: that encourage International trade.
1. Globalization: This is the International networking or the Interconnectivity nations.
2) Trade liberalization: How various government removes restrictions on trade activities eg how federal government some licence for buz or trade activities in Nigeria and other countries. This enable ease in doing buz
3) Creation of regional economies: Eg Ecowas, European Union <E.
These groups helps to Improve trade relationship among their memb
4) Technological advancement: These are the rapid development in the technogies eg easy transfer on phone without going to bank
5) Emerging market growth in the International trade: Eg ten years ago, China, India where all emerging market as their products co not competete with the developed market of United States. Nigeri is not an emerging market although they claim to be. as Nigeria is a f
6) Creation of common currencies: This explains how each group. eg E
- pean Union wants to have one currency as every european countries under EU must use "Euro" as a legalised currency and not pound
Even the African Union is working towards making one currency for all the african countries.
Types/ Components of International trade.
* Export trade; Visible export trade ii) Invisible export trade
Export trade. : This refers to International trade that focuses on selli of goods and services outside the shores or border of a country. Whe when the product sold are physical product or are tangible product then it is called "visible export.
* When the product of export trade are not physical or tangible the the products is called "Invisble export) they are referred to as



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4) Technological advancement: These are the rapid development in the technogies eg easy transfer on phone without going to bank

5) Emerging market growth in the International trade: Eg ten years ago, China, India where all emerging market as their products could not compete with the developed market of United States. Nigeria is not an emerging market although they claim to be. As Nigeria is a fourth

6) Creation of common currencies: This explains how each group. eg European Union wants to have one currency as every european countries under EU must use "Euro" as a legalised currency and not pounds. Even the African Union is working towards making one currency for all the african countries.

Types/ Components of International trade.

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vices eg educational services eg people from U.K coming to study
Nigeria - when they study, they pay fund to the country.
Import trade: This is International trader that focuses on buying
goods and services into a country.
visible Import trade: When we buy tangible or physical goods eg car
nvisible Import trade: When we buy intangible or non-physical
goods known as Services eg Nigerian travelling to Ghana to
study finance
→ Entrepot: This is when business men imports goods from a
country different from theirs for the sole aim of exporting it to
another country. eg Rebecca importing goods from U.S first to
Nigeria in order to export it back to Ghana.

Note: Emerging market includes countries that are in the process of becoming developed economy while frontier markets are less advanced economies the developing world.

Note: Entreport is also known as "Trans-shipment port" while entreport trade is the process of importing for re-exporting purpose.

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Topic: International Trade and Investment theories.

The Mercantilism theory * The Absolute advantage theory.
* The Comparative cost advantage theory * The factor endowment theory.
* The product life cycle theory etc.

(The Gold standard period).

1) The Mercantilism theory: This is the oldest theory, established in the 16th century. It focuses on International trade and businesses. It was discovered by Adam smith and his colleagues. This theory was established in order to encourage countries to work hard and try to produce more for export in order to get more golds -



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[other countries. i.e encouraging countries to export more
reduce their import less since after their exportation, they ge
get more gold than them importing and paying with Gold. This
is "Gold standard period" as Gold was used as a medium
of exchange. The Theory of Mercantilism was the oldest Internation
-al trade theory proposed by the early "economic classical theory."
This theory particularly focused on encouraging countries to increas
their export of goods and exservices while restricting import. The theor
was used to justify the ability of countries to generate more "Gold"
through their exports of goods and services. The theory was proposed
during the period of "Gold standard" i.e era when "gold" was
used as a medium of exchange. (gold or metal was used as medium
of exchange) the more exports the country engages in, the more gold the
country generates and the richer the countries are. founded in 16th century.
Note! This theory discourages "Importation of goods and services"
Disadvantages of Mercantilism theory (16th Century)
1. Import restriction has created scarcity of goods and services.
2. Consumers has limited choice to make in terms of goods & services as a result of scarcity.
3. It resulted to Inflation (general inflation).
4. Promotion of nationalism (i.e countries not ready to open their borders
for other countries ie they where no International co-operation among countries
5. Manufacturers that wanted to import raw materials were restricted.
B: The Absolute Advantage Theory (18th Century 1776): This theory
particularly states that a country can benefit in International trade by
producing and selling only those product in which it has absolute
advantage. (propounded by Adam Smith.)

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ly argued that, Mercantilism theory robbed people the rights to trade
ely and benefit from voluntary exchange. They emphasized that, by restric
ting imposts countries where erroneously wasting their wealth or resources
y producing those goods and services at a very high cost because they
ck those resources needed in producing such goods since they were
ompelled to produce goods and services they do not have absolute
dvantage on. The absolute advantage theory or principle allows coun
ory focus on the goods & services they can produce by using less of
heir resources. The major disadvantage is that the theory expect countries
only produce goods they have less expenses on as they can't produce such
goods with high cost.

**Comparative Cost Advantage (1817)**: This theory was propounded by
avid Ricardo. This theory considered the opportunity cost of produc
ng one commodity to another. Note! Opportunity cost concept was used.
This theory states that a country should specialize in the production
f goods and services in which she it has comparative cost advantage
producing over other countries. Under this theory, the proposal of this
heory argued that what matters is not absolute advantage or cost of
roduction but rather "the relative efficient cost or the ratio at which
e two countries can utilize resources in the production of goods &
ervices i-e it can benefit two countries to trade freely as long as
ne country is more efficient in producing goods & services needed
y the other trading nation or partner. The Principles of comparative
st advantage was basisly stressing on the "concept of opportunity
ost" which measures the trade-off benefits between two
ountries.

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assumptions of comparative cost advantage theory:

1. They assume there are only two countries involved in exchange of goods and services.
2. Assumed that there are two commodities involved in internat
3. Labour or supply of labour is the main factors used in the pro
4) There is no trade imbalance btw the two countries.
5) Cost of production would be fixed or constant

Illustration: Two countries France and USA are engaged in exchange of goods and services. Two commodities inv are clothes and wine. It takes France One hour to produce five yards of clothes and 10 cartons of A wine will be produced by france in one hour. While USA used One hour to produce 20 yards of clothes and 20 cartons of wine.

| | Labour/1hour (cloth) 1hrs | Labour/1hour (Wine) 1hr |
|---|---|---|
| France | 5 yards | 10 cartons. |
| USA. | 20 yards. | 20 cartons. |

Note: Under the absolute advantage theory it was discovered that U.S.A has absolute advantage in the production of cloth & wine giving the availability of labour in their respective country. U.S.A should concentrate in producing and exporting both commodities since they are efficient in producing both wine & cloth.

Opportunity cost table. (France).

Opportunity cost of producing wine and leave out cloth (France) = 5/10 = 1/2 carto
produce cloth and leave out wine = 10/5 = 2 yard

In USA

produce cloth and leave out wine: 20/20 = 1
produce wine and leave out cloth = 20/20 = 1

(the commodity you are leaving out is what you will use to divide the one you want to produce)

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## Opportunity cost table:

| | Cloth | Wine | Decision. |
|---|---|---|---|
| France | 2 | 1/2 | Produce more of wine |
| USA | 1 | 1 | produce more of clothes. |

Note: Country should go for the commodity with less opportunity cost as France is expected to produce more of wine ie focus more in the production of wine since if they decide to produce cloth, they are bound to exhaust more of their resources for clothes.
USA is expected to produce more of cloth since France already focuses on wine although USA has equal opportunity cost on both commodities. In order for the two Countries to trade, USA needs to focus on clothes. * commodities where countries have least opportun -ity cost is where they should focus on.

## Advantage/Benefits of International trade.

1. Voluntary International trade: International trade enables countries to buy goods & services they cannot produce themselves [voluntary economic exchange.
2) Skills Specialization: Countries are encouraged to specialize in diff -erent skills in production of goods & services they are efficient
3. Improvement in the standard of living: This is possible through import and export of goods and services among countries.
4. Creates Employment opportunity 5. Encourages International co-oper -ation and global peace.
6. Unnecessary waste of resources will be reduced eg When Nigeria is forced to be producing car even when they dont have comparativ advantages on car production instead of importing it.

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Disadvantages of International Trade:

1- Dumping of low quality goods or Inferior goods.
2. Adverse balance of payment i.e when countries involved does not have trade balance i.e Unfavourable balance of payment
3. It affects or reduces a countries national reserve (i.e National Savings account in foreign currency). This account can only increase when a country brings in more foreign currency as this account determines the exchange rate for the country.
4. Too much Importation makes a country to pay more hard currency as it affects a countries balance of payment.
5. Depletion of national reserves occurs due to due reduced national reserve.
6. Devaluation of local currency. (the deliberate downward adjustment in the official exchange rate, reduces the currency value of)

Why must countries restrict trade (International trade):

1) To protect local industries and to prevent dumping.
2) To create employment opportunity
3- To avoid Importated Inflation (i.e buying goods from countries experiencing inflation.

Measures or tools to restrict international trade.

1. Use of Import licence. (Licence is a document signed & approved by the govt
2. Use of Import duties (These are Indirect taxes levied on commodities.
3. Use of Importation quota (restriction of the quantity of goods that can be Imported into the country eg Nigeria should not import more than 10 cars in a year)
4. Subsidy on trade or Import subsidy (subsidy is money paid usually by govt to keep the price of a commodity low or to help an org to continue it operation or function
5. foreign exchange control and 6. Devaluation of local currency.

Note: Devaluation of Naira will make our product cheaper but if that occurs what is Nigeria producing? It is better we maintain our currency & encourage other countries to buy our products like garri. Therefore, devalue makes the exports of a country cheap and the export of the country more competitive. but it increases the cost of imports.

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v: Foreign Exchange rate / determinatory:

ory Endowment theory: Countries are bound to enter into interna
onal trade because they may be naturally endowed in factors
production. These countries export capital intensive products
d other products that are factors efficient in production.

oduct life cycle theory: Countries enter into International trade
: reasons to expand beyond their national boundaries having
tisfied their local demands. The process and stages of
oduction determines the countries that can export.

(It has stages [introduction, Growth, maturity & decline) that it must pass through).
(from maturity to international trade)

(i.e country engage in international trade in order to expand beyond their boundaries after satisfying the local firm)

Some other disadvantages of international trade:
anguage barriers * cultural differences.

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(once a country gets to the maturity stage, then it has satisfied its local demand & can trade internationally. (DR Oheira).

## TOPIC: Foreign exchange rate determination

t is foreign exchange: This is the means of settling international
ments or an "instrument" used for payment of international transac
n or it is used for financing international transaction or external
reign exchange involves "convertible foreign currencies" which are
ded to effect settlement of international transactions. Example of
vertible currencies are Dollars, pounds etc. (these involves convertible currencies needed for settlement of international transaction.)

e: Foreign exchange transactions has to do with Convertible currencies
h are available in developed countries. (Non-convertible currencies are common to non-developed countries)

### Sources and Uses of foreign currencies.

nand for foreign currencies ie things or transactions that require
eign currencies.

Importation of goods: Foreign currency is needed when we want

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2) settlement of foreign obligation or debt. 4. foreign medical bills.
3) personal travelling allowance. 5. Payment of school fees.
6. Foreign Investment.

*Supply of foreign Currencies.

I) ~~Sales of~~ or exporting product to foreign countries II) Grants from friendly countries
II) foreign Investment by foreigners. (i.e Inflow of foreign direct Investment.
IV) Donations V). Services sold to foreigners eg Education.

What is foreign exchange rate: This is the price of one unit of currency expressed in terms of another country's unit of currency.

It represent the number of units of a ~~Curren~~ countries currency that can be exchanged for one unit of another countries currency eg one Naira to one Dollar. This is used for different purposes especially in International transactions. It is "subject to fluctuation" based on economic conditions of a country. It is function of macro economic performance of a country. The more stable the exchange rate is, the better the economy.

A number of theories have been proposed to explain the foreign exchange rate determination. Which are:

* The mint parity theory * Purchasing power parity theory (the law of one price)
* Balance of payment theory.

1) The Mint Parity theory: This theory was proposed during the period when gold was used to measure the value of currency. Theory helped to explain how the value and weight of a countries currency will be compared to the one available in another country. Under this, the currency in use is meant to be convertable into gold at a fixed rate. This rate at which a country currency is can be convertible into gold was reffered to as "Mint Price of Gold".

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Note: The mint parity theory is not more in use.

Note: The weight of the gold determines the value of the currency.
g If one gram of gold cost 5 pounds in UK and the same on
ram of gold cost 10 dollars in US. The exchange rate btw US
d UK will be 10/5 = $2 i.e One pound is equal to 2 dollars.

Purchasing power parity theory: This is similar to the mint parity
heory as the mint parity theory is not more in use. Then they decided
o adopt one currency. Under this theory, the equilliborum exchange
te btw two convertible currencies, is reflected by the purchasing power of the
o countries currencies in their various countries/nations.

lustration 1: If a 1 Techno handset cost 1000 pounds in London
nd the same handset cost ₦20,000 in lagos. Under this theory
e purchasing power is: ₦20,000/1000 pounds

swer: exchange rate = ₦20,000 = ₦20. £1 = ₦20//.
£ 1,000 i.e 1 pound equal to ₦20.

Balance of Payment theory: This theory states that under a free exch
inge rate system or flexible or floating system, that exchange rate
n 2 countries should be based on their countries balance of
yment account. Balance of payment account is an account
pt by countries that engage in international transaction or trade.
en the BOP is favourable it impacts the foreign exchange positively.
Exchange

Types of foreign Rate system/policies.

sically foreign exchange rate system policies are classified into 2:
The Fixed exchange rate system.
The Floating or flexible exchange rate system:

te: Under the purchase power parity theory, the law of one price, controls
e exchange rate i.e the price of the same commodity should be
ual in diff currencies. The purchasing power determines the F.E.

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room these two types we have the hybrid exchange rate whi
a) Manged floating exchange rate ii) Target ~~rate~~ zone exchange
c) Crawling and d) multiple exchange rate. [Target and crawling are the hybrid rates

1) fixed exchange rate system: A country can adopt or fix the exchange rate that could resist the market forces. The government plays an important role under this fixed E·R. This fixed E·R is managed by the federal government and the rate is not subject to change for a long time. The federal govt alet the fixed exchange rate through the central bank of Nigeria as the demand & supply forces cannot affect it. It takes time before it can be ch.

Advantages of fixed exchange rate

1.) Helps to eliminate foreign exchange rate risk. e.g When you know the exchange rate is ₦350 to $1 you will be able to plan for the future.
2. Helps a country to achieve balance of trade.
3. Helps federal government achieve Macro economic stability.
4) Discourages arbitrage process or transaction. (Arbitrage is the process When Investors tries to make abnormal gains due to mis-pricing.

2. Flexible Exchange rate System: The exchange rate is determined by the forces of demand and supply or the market forces. When the presure is from demand (eg too many students wants to travel abroad) i.e excess dem- and then the exchange rate will increase but if the supply is higher then the exchange rate will fall. In case of Nigeria, it exchange rate is high due to high demand. The monetary authority does not intervene under the flexible exchange rate system.

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exchange rate: This is a hybrid exchange rate that has the
combination of fixed and flexible exchange rate.
Crawling peg exchange rate: Under this, the rate is adjusted from
time to time in line to the inflation rate i.e it adjustment of
exchange rate is mirrored in relation to the inflation rate.
Manage floating exchange rate: The rate is allowed to float
subject to the intermediate goverment intervention i.e if it is
high govt can decide to buy in order to maintain the standard
Multiple exchange rate: This type is used by a country with more
than one exchange rate i.e when a country uses more than one
exchange rate to manage the external reserves and for
international businesses.
Instance btw 1962 to 1986, Nigerian used the fixed exchange
system.
Between 1986 to 1987 i.e Nigerian used the dual exchange rate
that operate in a parallel market.
Factors that affect foreign exchange rate determination.
Inflation ii. Level of money supply in the economy i.e high
level of money supply will translate to high liquidity.
i. When the local currency falls, the foreign exchange rate increases.
When exchange rate is raising, the foreign currency is also raising
the local currency is falling.
Interest rate v) Balance of payment account position. When
it is in red, then the country is owing and the country currency value
fall and it also affects the countries external reserve as it reduces
wrong that government is not saving anything.

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v.) Capital flight: This is used to explain the money that leaves the country through illegal means. Or when money comes in to the country through illegal mean. This act serves as leakage and it has a negative effect on our Nigeria economy as it affect the Naira. These money are not captured by the financial sectors. It can includes:

* Smuggling x Over or under Invoicing

vi) political instability vii) Government regulation & control

viii) Arbitrage process or speculation at high rate. ix) bad information or rumors about wars, Insecurity etc.

What is balance of payment:

Topic: Foreign Exchange Market (All derivative market are prone to default expect future market

The foreign exchange market provides a platform through which money of any country can be exchanged for the currency of another country. The foreign exchange market therefore serves as an avenue (where foreign exchange transaction can either be remotely excuted or physically excuted (consummated) (consummated)

It is also a stran Institutional structure where foreign exchange rate can be determined. (exchange rate is the prices of various currencies

Note: It is a platform and not a physical location where foreign exchange are traded. It is usually operated online. It can be classified under three groups:

Types of market under foreign Exchange

i) Spot Market ii) Swap Market iii) Forward Market

iv) futures Market v) options Market vi) Black market/Parallel mar

Note: The swap, forward, futures and options markets are under "Derivative markets. (prices of these markets are determined by underlying assets.)

i) Spot Market: A spot agent rate market is a market where foreign exch
ange market tranctions can be executed at an agreed rate for Immediate
delivery of the currencies on the spot. The type of transaction under
this market is called "spot transaction" which is concluded
under 24 hrs and the exchange rate det in this market is called
"spot exchange rate".

ii) Swap market: This is an exchange rate market where the purchase &
sales of the currency is simultaneously done.

iii) Forward market: This market deals with agreement eg I will enter into a
contract today to pay dollar in one month time with the fear that the prices
might rise tomorrow). Agreement made today that will be processed
later in the future. This is a market that is not for Immediate deliver
but for future, It requires two parties in form of contract and
conducting a transaction at a spot exchange rate to be
delivered in the future. (It is not a market for Immediate delive
but future.)

iv) Future market; This is similar to forward market. This is more regulated
and it is not prone to default like other derivative market.

v) Black market; example of black market is bureaurde change. "Black market
operates behind the offical rate". It is a parallel market. Bureux de
Change is a refined structure of the black market, though black market
still exist.

Functions of foreign exchange rate market

1. FI assist in the transfer of purchasing power needed for International
transaction.

2. Helps or provides credit facilities among countries & investors
that participates in international basis

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5) Helps to provides hedging facilities. i.e mitigation of risks tion of risk impact.

participants / players of foreign exchange market.

1. foreign exchange brokers: An agent that works / transact on behalf of his principals with a commission called "brokerage fee"
2. Speculators and Arbitragers
3. Central banks
4. Commercial bank

* Commercial banks: they play 2 roles ~~the~~ of providing of services to individuals cl and operating in interbank transaction (other banks). 5.) Importer & exporters (major participant & stakeholde

Foreign exchange rate quotation and determination:

F.E rate quotation: This is the expression of the amount the individual is ready to buy or sell. We must quote two rates (buying rate and selling rate).

Note: Bid prices → buying price while ask price → selling price.

Note: you sell at the banks buying rate. Bcos banks will buy at low price and sell at an higher rate. Note: Rate changes at time basis based on th information gotten globally.

Types of quotation Method

There are three types of quotations methods:

1.) Direct quotation
2) Indirect quotation.

A. Direct quotation of exchange rate: This means there is need to provic many units of the local currency to buy one unit of the foreign cur It is also termed as "pence quotation". Examples of direct quotati we as follows: if we have Naira to dollar exchange rate i.e ₦/$ exchange rate = ₦500/$1 i.e we need ₦500 to buy 1 unit of dollar. (referral currency / Base currency)

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Indirect quotation of exchange rate: This is a reciprocal of the ect quotation. It is also term as "currency quotation". This is number of units of foreign
ere you need to provide many units of foreign currencies to y one unit of local currency. Example: $/₦ exchange rate.
₦500 = 0.002 ∴ $0.002/₦1

ote: In carrying out foreign exchange quotation, two currencies are involve the currency that is going to be bought or acquired in one unit hould be used as the "Base currency" while the other is called he "Referred currency".

Currency depreciation and Appreciation.

Currency Depreciation is when spot exchange rate is greater than the forward exchange rate. SE > FE

rrency Appreciation: Foreign C.A occurs when the spot exchange trading behind the forward exchange rate. [spot exchange < forward exchange]
reve to known If the foreign currency has appreciated we need to ose the Inflation rate in the foreign and domestic exchange rate, e can detect these in percentage form.
e difference between the spot exchange rate and forward exchange is alled either premium or discount - [spot exchange → Forward exchange
It is called a Discount) i.e It is trading at discount.
Then Forward exchange → Spot exchange is called Premium.
~~It can be expressed as a percentage. which is the percentage of foreign exchange rate risk~~

Percentage Change (%) = $\frac{FR - SR}{SR} \times \frac{100}{1}$
in premium.
here SR = ₦/$ exchange rate ⇒ ₦500/$1.
FR = ₦/$ exchange rate ⇒ ₦550/$1 → 3 months time.

te: When months or days are involved, you need to analyse.
[$\frac{550-500}{500} \times \frac{3}{12} \times 100$] check.

$\frac{Fr - Sr}{Sr} \times \frac{100}{1}$ ] = % Change.
In percentage

Forward E.R − Spot E.R
= Premium

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## Foreign exchange rate risk.

This is an adverse Impact that can occur as a result of portfolio exchange rate transaction.

### Types of foreign exchange rate risk.

1. Transaction risk
2. Translation risk
3. Economic risk

* Transaction Risk: foreign exchange transaction risk can be exposured to International transaction. This type of risk arises as a result of changes in the foreign exchange rate within the period the transaction was initiated and the period the transaction was conc.

* Translation risk: This has to do with the Income statement and balance sheet and it affects people in International Investment, subsidiaries and branch etc. The account of the subsidiary is prepared in local currency e.g Nigeria, at the end of the year when preparing the consolidation account, the profit will be overbalance because it was prepared at a reduced rate eg ₦502/$1

* Economic Risk: It has to do with devaluation of the portfolio value (collection of assets generally) of Investors. The value of portfolio of Investors can affect the value of exchange rate risk when the value drops it affect the sector i.e every sectors

### Protection of business / Investors from foreign exchange risk.

### How to protect the business / Investors from foreign exchange risk.

1.) Ignoring the risk
2.) An exporter can decide to invoice it's goods in his local currency.
3.) hedging foreign exchange rate i.e the method of reducing or neutralising the Impact of the risk by doing so, the company or Investors will decide to enter into the derivating market

Leading and Lagging method: This is trying to fasten the pay
.nt earlier than expected because you have an idea of the
e exchange rate is not favourable then you are applying the
igging method" but leading method is when you pay on time
Netting off method: This is dealing with different types
-currencies eg Naira, Dollar, pounds etc. The different curren
es cannot rise at the same time as the loss made in one
urrency will be covered by the profit made in an another
rency.

Assignment.

ased on the purchasing power parity theory, of exchange rate determination
following methods can be used to determine exchange rate at any
nt in time?

1) $\frac{1+FR}{1+DR} = S/F$ (for direct quotation.)

ii) $\frac{1+FR}{1+DR} = F/S$ (for Indirect quotation)

ere; FR → Foreign Inflation rate. ; S → Spot exchange rate
DR → Domestic Inflation rate ; F → forward exchange rate.
suming Nigeria and Japan are two Countries engaged in International
ide. The ruling Inflation rate in Nigeria is 10% while Inflation
rate in Japan is 5%. The current exchange rate btw the two
ries currency is ₦180 to 1 Yen. Required:
at could be the exchange rate btw Nigerian/Japan Next y.ear
hat could be the exchange rate ~~btw~~ Nig x Japan in 6 months time
Assuming exchange rate btw Naira and dollar is ₦120

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to $1. the following information are relevant to the two countries.

| | Nigeria | USA. |
|---|---|---|
| cost of 1 bottle of evaluater in year 2021 | ₦300 | $2.50. |
| cost of 1 bottle eva water in year 2022. | ₦600 | $4.00. |

i) What will be exchange rate in 2023 based on the purchasing power parity theory approach.

To calculate=Inflation rate; $\left[\frac{\text{Latest price}}{\text{Earliest price}} \times \frac{100}{1}\right]$ [For Nigeria].

Domestic

$= \frac{₦600}{₦300} \times \frac{100}{1} = 200\%$

[For USA] = $\frac{\$4.00}{\$2.50} \times 100 = \$160\%$

Note! Nigeria uses direct quotation $\left[\frac{4-2.5}{2.5} \times 100\right] = 60\%$

$\frac{\text{New price} - \text{old price}}{\text{old price}} \times 100$

$\left[\frac{600-300}{300} \times \frac{100}{1} = 100\%\right]$

DR FA-YUSUF 08/02/2022.

Topic: Balance of payment Account & Purchasing parity theory.

Five components of balance of payment A/c:

* Balance of payment Account is an account that shows the economic transaction btw two nations.

Comports of B.O.P. A/c

* Current A/c ii) Financial A/c iii) Capital A/c.
* offical reserve transactions; This shows the purchase & sales of foreign currency reserves by the central bank.
* statistical errors and omission

i) financial A/c; shows the the purchase & sales of foreign asset by resident of country. eg A Nig collecting dividend for shares he bought in U

ii) Current A/c: shows the export & Import made by the count

iii) Capital A/c: Takes note of unilateral transfer eg receipt of forei aids..

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Balance of Payment disequilibrium: This occurs when a country has
* Balance of payment surplus * Balance of payment deficit.

Ways to correct disequilibrium in B.O.P.

i) Export promotion
ii) Import substitution: i.e trying to encourage local industry to produce imported goods.
iii) Increasing government expenditure.

Purchasing power parity theory.

States that the exchange rate btw the ratio

$S_{KH/\$} = P/P^*_{\to F}$ ⟶ P.P.P. theory (Absolute PPP) Where P → domestic price level
$P^*$ → foreign price level

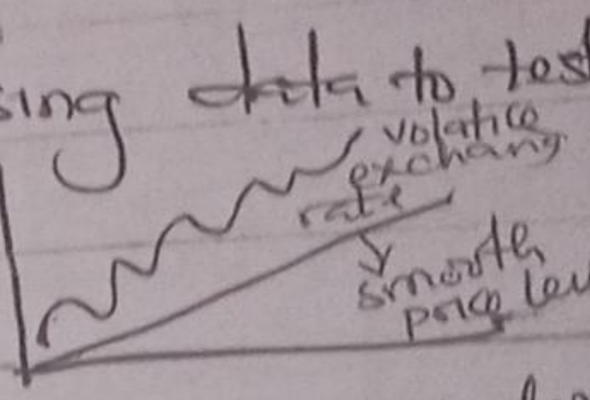
Relative PPP = $\%\Delta S = \%\Delta P - \%\Delta P^*$

Consumer price index = $\frac{\text{Weighted price level in a given year}}{\text{Weighted price level in a base year}} \times \frac{100}{1}$

for PPP, the starting point is the ; 1) The law of one price.

The Law of one price: $P = S_{KH/\$} \times P^*$

Summary of emprical evidence; This is using data to test a theory:




1) Exchange rate tends to be volatile than the price level.
2) It is better to use wholesale price index than consumer price index
» PPP host countries that are relatively close.
Issue of traded goods & Non traded goods.
PPP theory holds true or is valid for traded goods than non traded goods

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Topic: Globalisation [1st war 1914 - 1918 · 2nd war 1939 1944, 1945]

Prof - Esther Adogh
26/10/22.

Globalisation: is the enhanced integration of economic activ
across countries (flow of goods, services, capital etc.) the
follow of the undermentioned ared globalisation. The capital c
either short term or long term capital. Usually companies tha
multi-national help to promote globalization.

The basis of globalisation is the difference, or lies.
endowments, natural resources etc. such difference necessitat
"INTERDEPENDENCE" that is you must depend on other countrie
that have what you need as they also rely on what your own
~~Compan~~ country has.

For us to benefit from these resources, "FREEDOM of movem
is required. Freedom of long term capital and short term capita
movement, goods and services should also be moved freely.
Interdependence requires freedom to be maximally beneficial to
mankind. There must be freedom of human capital to move, o
capital, of all other resources, of goods and services, of short
term and long term capital to move

Globalisation is the increasing integration of economic activities
among countries.

## Factors that lead to globalisation.

Note! When a country fix its exchange rate and have independence over macro economi
policy, the ~~company~~ country will not be able to control the flow of capital but if
the exchang rate are flexible, it will help.

Note: Structural Adjustment program (SAP) encourages the
opening up of a countries economy for other countries to trade
freely.

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Note: Debt catapulted developing countries into globalisation. dyee to the failure of companies to pay back debt, "SAP" was introdu

) The world experienced two world wars. stru

The first between 1914 - 1918, the second between 1939 and 1945. In the interval there was world economic depression from 1933. So in 1944/1945 the world Economists (keynes inclusive) met in Bretton woods USA to fashion out "new world Economic Order". These Economists could not ust government who overtime had been concern about only their conomies. They also could not trust the market which has harbou red economic depression since 1933. So what the economist id was to set up a supranational body called IMF and another alled World Bank to supervise the new world economic order. overtime they discoverd that fixing the exchange rate limited apital flow. So from 1975 the exchange rate were allowed to low.

) The setting up of European Union which broke all barriers in the ountries of Europe and led to just one currency fast forward ed globalisation. Note: example of socialist economy we have Russia.

) The break down of socialist walls brought all the countries hat were previously socialist economist to the purviews of the arket economies < under socialist, the government dictates : the countries are compiled bott under market economes, the narket dictates as countries were not under compulsion).

) Developing countries who had borrowed from international nancial market and who used the IMF $ or world bank s their guarantors and could not pay back were forced into he globalisation train. The guarantors IMF / World bank

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In abid to make these countries designed what they called SAP (Structural Adjustment program). The basis thrust of SAP was "OPEN UP YOUR ECONOMY".

DR FA-YUSUF. 2/11/22.

Topic: The evolution of International Monetary system

International monetary system have evolved in four phases/stages they are as follows:

i) The classical gold standard
ii) The gold exchange standard
iii) The Bretton woods system (where the world bank & IMF were established).
iv) post-bretton woods system (The current system.

* The classical gold standard: The classical gold standard was in place between 1880 and 1914. This system was characterised by rap -id expansion of world trade, economic growth and price stability.

* The gold exchange standard: This phase was in place between 1925 and 1931. This stage cam about because the classical gold standard broke down during world war 1 (1914-1915). Under the gold exchange standard, only the United state and England could hold gold reserves. Other nations of the world where able to hold both gold and us dollars or pounds sterling as reserves. In 1931 England left the gold exchange standard in the face of massive gold out close due to an overvalued exchange rate. Foll -owing the devaluation of the british pounds, 25 other countries devalued their currencies to maintain competitiveness - (when a countries CBN deliberately devalues ta countries currency, then it makes the export cheaper while the import is expensive.

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trade wars and protectionism came to rule and resulted in great depression which was followed by world war II

;) Bretton woods system: This system was in place between 1946 ind 1971. Under this system each countries government pledge to naintain a fixed exchange rate for its countries currency with respect to the US dollar or gold. Mayor industralised countr
, the world met at bretton woods in the US in order to put this ystem in place. Of the bretton woods conference the IMF and he World Bank were established. The IMF was set up to help ountries overcome temporary balance of payment problems while he world bank was setup to lend to developing countries to finance levelopment project.

The following were the problems of the fixed exchange rate system nder the bretton woods agreement:

The system allowed balance of payment to dictate domestic conomic policy.

) Changes in fixed exchange rate where allowed only as a ist resort in the event of balance of payment imbalance

) Devaluation tended to get post-poned as long as possible.

) The system required large foreign reserves to finance balanc f payment deficit.

) The system was breeding unhealthy currency speculation, as it as easy to identify a weak currency.

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4. The post bretton wood system: This is the current system which started in 1971. following the departure from the bretton wood system, the world moved ~~the~~ various form of exchange rate regime. ~~Each~~ These regime are in four categories;

1) Free float / floating exchange rate regime: With a freely flo ting system, no gold and foreign exchange reserves would be required as the exchange rate would adjust itself until the supply and demand for currencies are brought into balance

2. Manage float: This is an exchange rate system that allow a nation central bank to intervene regularly in foreign exchan Market to change the direction of the currencies float. The ma arguement for manage floating is that the monetary authorit central bank. can choice an exchange rate more inline with fundam ent

3. Target Zone arrangement: This is a system under which countries pledge to maintain their exchange rate within a specific margin around agreeded upon central exchange rate

4. Pegged / fixed exchange rate; A pegged exchange rate also known as a fixed exchange rate is a currency regime in which the countries currency is tied to another currency, usually the US Dollar or the Euro. [chinese is tied to US Dolla.

The case for free float exchange rate regime

In the case of a free float, there is always a balance of payment equillibrum. Also a floating exchange rate regime is SIMPLE to operate, as it responds readily to the forces of demand and supply, thereby restoring equilibrium without monetary or (→ CBN) fiscal intervention < intervension by the ministry of Finance)

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The case against freefloating exchange rate regime".
One of the downsides or negative side of a F·F·E·R·R. is that weak currencies will remain weaker and then render exchange rate unstable. Another downside to F·F·E·R·R is that it could or it can cause inflation.

orluh22 Continuation of Globalisation. Prof Esther.

Other factors that led to globalization includes:

I) Changes in technological landscape gave a tremedious boost to Globalisation especially development in transportation.

II) Data transfer through Internet even to transfer capital

III) Existence of institution that have tremedenous (pension fund, mutual fund, insurance com) fund that they want to invest and their locality does not have enough capacity for the investment or to absorb their Investment.

IV) The use of the internet has made positive impact of GBN. sellers and buyers are connected at almost zero cost.

... Electronic computerised data transmission has given capital unprecedented mobilization (capitals can easily move).

V) Existence of institutions with tremedous funds, well beyond what their local environment can absorbed has helped GBN eg mutual funds, pension funds, insurance companies etc. they have enough fund, so they look for other companies where they can invest.

Benefits of Globalization (GBN)

Note: When there is specialization, output will rise, when output raises, welfare will increase e.g Instead of eating just cocoa, you can also consume Apple.

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1. In the face of globalization, there will be specialisation. Specialisation leads to increasing output. As output raises, wellfare of the citizens will also raise. So if we call output $\varphi$ and call welfare W then it means $W = F(\varphi)$.

$dw/d\varphi > 0$ => This shows there is a positive relationship btw W and $\varphi$ i.e the higher the output, the higher the welfare.

* Access to new market: In the face of GBN, you can access new market than before. * 8) Increase in the standard of living

2. ~~Access~~ Investors now have access to bigger funds so that investment is no longer constrained by the size of capital

3) The cost of capital will ~~likely~~ fall: This occurs because there is a higher pool of funds. Domestic fund suppliers no longer enjoy monopoly power.

4) Information Assymetry: This is a situation where the mgt of the firms knows better than the investors what is actually happening. This is when information assymetry is removed in the face of GBN as institution makes deligent investigation before investing their fund (in order to have adequate knowledge before investment is made)

5) With increasing GBN a country that is efficient in fiscal and monetary management is able to steer capital into the most useful (not pro).

6) GBN Improves the market for corporate control. A firms management cannot afford arm chair (attitude) i.e mngt must be on its toe, (that is, you must not feel too big to be controlled in the international market): the mngt of a firm must be up & doing. If u are too big to be swolled up locally, it cant be done internationally.

7) Globalization ~~taxes~~ Government Excesses: Govt cannot afford to be fiscally rascal in a Globalized world eg tax rate will be increased suddenly, this act is not permitted.

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(fiscal rascality → this is when the govt just wakes up & increase corporate tax) this act is not permitted in order not to prevent the foreign investors from withdrawing their funds.]. In the face of unusually high inflation due to budget deficits foreign firms are likely to exist.

8) Mobility of capital under GBN permits "new knowledge, new technologies and yield new products".

Costs / Challenges of Globalisation:

* Encourages dumping * High rate of internation funds * Devaluation of currency
* Increase in Financial Capital flight, Bcos capital will flow to where it will be best used
* Increase in human capital flight * Lost of cultural identity: eg mode of dressing

1. Globalisation constraints the ability of govt to control domestic monetary and fiscal policies; eg If i increase Tax, Investors will leave, all your policies are restricted.

2. Under globalization powers shifts from govt to private firms. fiscal resources of govt can be threatened if govt cannot tamper with fiscal policy

3) Whenever the confidence of foreign Investors are shaking, there will be massive exit from the country. This phenomenon is known as "SUDDEN STOP" as the capital market will collapse.

4) What aggravates problem in the face of GBN is the fact that there are no bodies / institutions to adjudicate, to ENFORCE, to OVERSEE such relationships. e.g If unilever decides that what is happening in Nig, is not pleasing, Unilever can decide to take their funds from Nigeria and there is nobody to adjudicate them by asking them to stop.

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~~Mobility~~ Social Darwinism: this is a situation where the richer countries are getting richer while the poorer countries are getting poorer bcos the poor countries resources are following to the rich countries eg Nigeria medi -cal doctors moves to USA countries, It can be human capitals, funds or other resources.

5) Massive flight of capital (human and non-human) from develo -ping countries to developed countries led to a phenomenon known as "SOCIAL DARWINISM". This is a situation where the rich countries are getting richer and the poor countries are getting poorer.

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